



CENTER FOR STRATEGIC LEADERSHIP
U.S. ARMY WAR COLLEGE

INTERNATIONAL STRATEGIC CRISIS

ISCNE

NEGOTIATION EXERCISE



South China Sea Scenario



UNITED STATES ARMY
WAR COLLEGE

The International Strategic Crisis Negotiation Exercise

Exercise Description and Guidance

Introduction

The International Strategic Crisis Negotiation Exercise (ISCNE) uses experiential learning to educate participants in the process of crisis negotiations at the international/strategic level.

Participants, as part of a delegation, will be challenged in leadership styles, negotiation techniques, and communications abilities to reach their nation's desired end-states. Each delegation engages with counterparts, within the framework of a United Nations conference, to try to resolve a long-standing and potentially volatile crisis. An actual complete resolution to the presented issues is not an expectation, nor is it a reality. Delegations will have to contend with other delegations that each have their own desired end-state goals.

The issue in question is the present-day crisis over the conflicting claims in the South China Sea. Countries with interests in this region and involved in the negotiations are Brunei, China, India, Indonesia, Japan, Malaysia, the Philippines, the United States, and Vietnam. The UN is represented by a Special Representative (SRSG) to the region to monitor developments, mediate negotiations and discussions, and report findings.

The key documents provided are the South China Sea Scenario, Privileged Instructions, and relevant reference documents. As the name implies, the Privileged Instructions are protected communications from each government to their negotiation delegations regarding the impending round of talks and need to be handled as such.

This type of exercise works best when conducted within the confines of a strict schedule. This allows the parties involved time to negotiate issues, pause to evaluate and adjust their negotiation strategies, and schedule and respond to negotiation requests. The structure may induce some frustration, but this is not unrealistic. Within the context of this exercise all parties have accepted a UN negotiation model which establishes the structure and employs a control group concept.

Preparation for the Exercise

It is highly recommended that each delegation find time to meet and prepare prior to the exercise.

Each delegation must have both a Head of Delegation (HOD) and a Team Communicator.

As the title implies, the HOD is the delegation lead. This person is responsible for providing direction to the delegation and is responsible to their superiors, in the form of their Foreign Minister/Secretary (FM/S). Which negotiation sessions the HOD elects to attend (or not to attend), is symbolic of their significance within diplomatic circles.

The Team Communicator is a full team member that has the additional duty of being the delegation's point of contact with the exercise control team. They are responsible for requesting and processing ad hoc negotiation invitations, team-to-team communication and diplomatic communiques as detailed below. This duty is critical for exercise execution.

Exercise Operations

As part of the United Nations' efforts, all parties agreed to the imposition of certain predetermined sessions and control mechanisms to ensure the proper conduct of the negotiations. For that purpose, a UN Control Group (UNCG) has been established, as the technical and administrative branch of the SRSG, to help manage the conduct of this conference and ensure implementation of the agreed mechanisms. These mechanisms are:

- **Ad Hoc Negotiation Scheduling:** Ad Hoc negotiation sessions are scheduled via an electronic system accessed by your delegation's communicator (not by direct delegation-to-delegation communication). Ad Hoc sessions must adhere to the negotiation periods set out in the exercise schedule. Sessions may be bilateral or multilateral and may be requested for 15- or 30-minute increments. Invited parties may *accept*, *decline*, or *ignore* the invitation. Once all invitees have responded, the system notifies all parties on whether the session will be held and if so, where. **Ad Hoc Negotiation Sessions only happen if all parties agree to attend.** A delegation may request and schedule as many negotiation sessions as it can support within the allotted time. **If you accept an invitation, you must attend the session.**

The SRSG will be available to meet with delegation(s) during Ad Hoc Negotiation sessions. All requests to meet with the SRSG are initiated in the same manner as ad hoc negotiation sessions. The SRSG has the option to call their own Ad Hoc Negotiation sessions; if so, these requests **cannot** be declined or ignored.

- **Diplomatic Communiqués:** These are messages to your nation's leadership to either provide reports or to request guidance. The FM/S will provide their cell phone number to the Head of Delegation and Team Communicator so that they can text directly. If a delegation would like to meet with the FM/S, he will come to your team room during Team Meeting periods.
- **Team-to-Team Communication:** Delegations are allowed to communicate with each other as they determine appropriate but **may not conduct negotiations outside of formally scheduled negotiation sessions.**
- **Exercise Schedule:** Adherence to the exercise schedule will be strictly enforced. Team Meeting periods are an extremely important element, as they are a time for internal team communication, evaluation/reevaluation of positions and interests of the other delegations, consultation with their FM/S, scheduling negotiation sessions, and establishing talking points for the next round of negotiations. Negotiation sessions between delegations can only take place during the scheduled negotiation periods.

Conduct of the Exercise

The exercise begins after the exercise overview brief. Role-playing begins at the opening plenary session chaired by the SRSG. Participants should remain in role throughout. Negotiation sessions and team meetings are confidential but conversations in common or public areas are subject to intelligence collection.

For the opening plenary each delegation should be prepared to present a 2–3-minute opening statement. Upon conclusion of the plenary participants will move to their team rooms and prepare for the commencement of negotiations. The first negotiation period consists of pre-scheduled bilateral sessions. Thereafter, all negotiation sessions will be Ad Hoc, conducted as described above. The first day concludes with an internal team evaluation of the day's events.

The second day begins with a Team Meeting period followed by the resumption of negotiations. At the end of the day teams will reassemble for a closing plenary chaired by the SRSG. ***During the closing plenary each delegation will brief their current positions, assess the progress made, and offer options for any proposed way forward.*** Specific instructions on the closing plenary will be sent to each delegation during the last Ad Hoc negotiation session. At the conclusion of the plenary participants will come out of role and the Army War College will facilitate an after-action review.

International Strategic Crisis Negotiation Exercise

The South China Sea Scenario



The scenario utilized for this exercise depicts an evolving situation in the Southeast Asian region, specifically an accelerating crisis over the South China Sea (SCS). The scenario's purpose is to provide a near real world situation and set the stage for delegation team negotiations which are the primary actions of the exercise.

Although we incorporate real historical and recent events, this scenario is completely hypothetical and has been designed solely as an aid to achieve participant educational learning objectives. **All materials in this exercise are notional for educational purposes only. There is no attempt to be predictive or reach a real-world solution.**

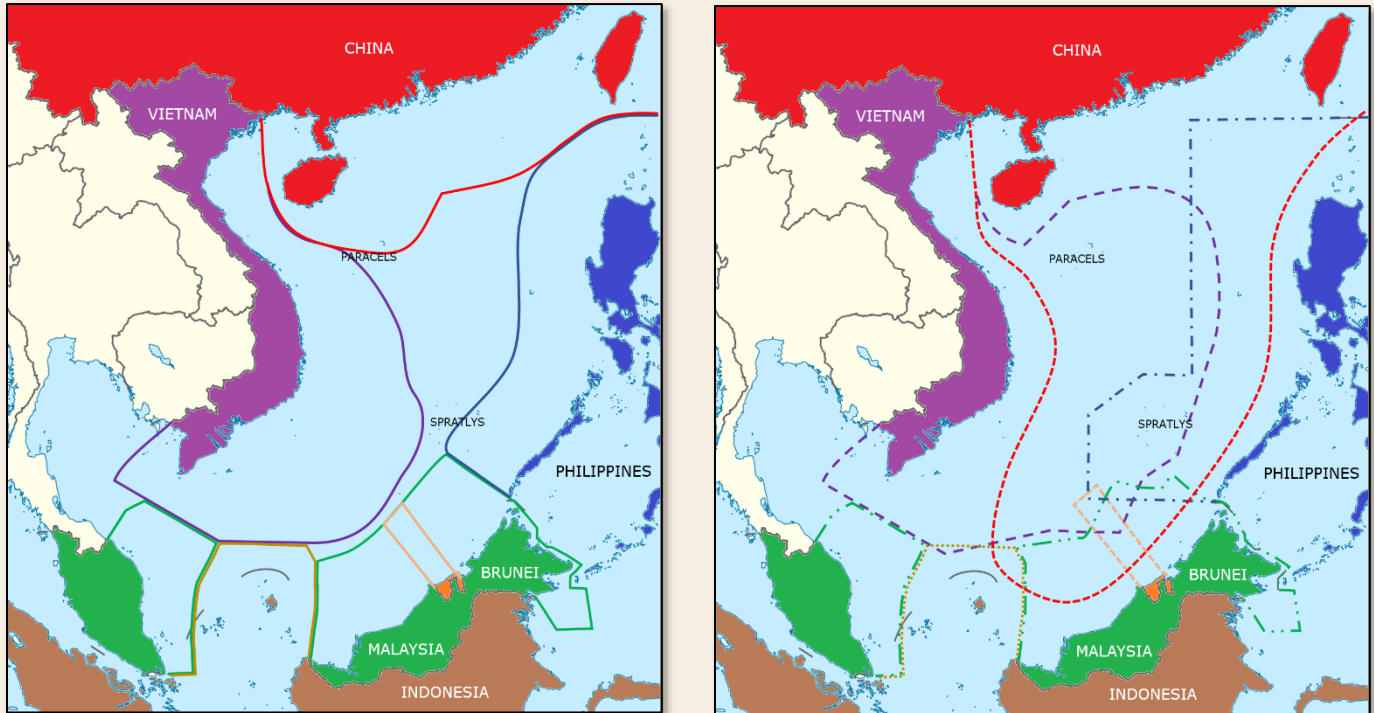
Read and understand the materials in this priority and order:

Required: Overview (pp. 2-4)
 Significant Events (p. 4)
 Your Delegation's Privileged Instructions (separate document)
 Brief History and Current State of the SCS Nations (pp. 5-22)

Recommended: **South China Sea Scenario References ([Reference Link](#))**

Overview

The local, regional, and international importance of the South China Sea (SCS) cannot be overstated. Its waters are home to approximately 10% of annual global fisheries catch; beneath its seabed, depending upon the differing estimates, lay between 28 and 105 billion barrels of oil, and 4 to 5 trillion cubic feet of natural gas; and one-third of global maritime trade transit its waters. It is the strategic maritime link between the East and West, between the Indian Ocean and the Pacific Ocean, between Africa, the Middle East and Europe to Asia.



The map on the left shows the UNCLOS 200 nm Exclusive Economic Zone allowances for each nation. The map on the right shows the claims made by each nation.

Brunei, China, Indonesia, Malaysia, the Philippines, and Vietnam all claim parts of the SCS. Since the end of the Second World War these nations have sought to establish, justify, and enforce their own territorial claims within the SCS. With a rising China, both economically and militarily, other bordering nations have become increasingly determined to enforce their own overarching claims within the Sea.

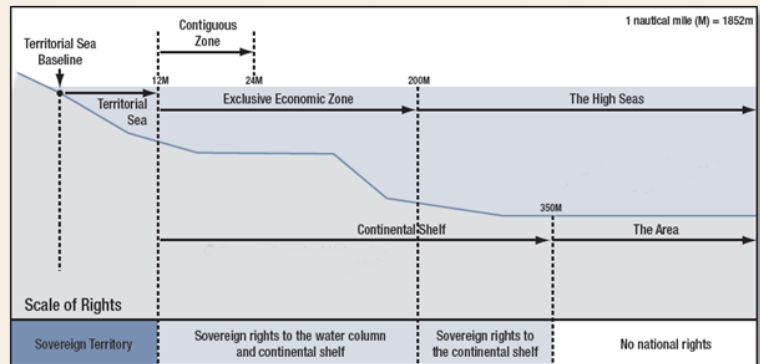
Lying within the SCS are groups of very small, uninhabitable land outcroppings known as the Spratly Islands, the Paracel Islands, Scarborough Reef, and Macclesfield Bank. The largest grouping of these is the Spratly Islands, and their importance lies not in the islands themselves, but rather in what is thought to lie beneath them – substantial untapped oil and gas reserves – along with the abundant fishing grounds in the waters that surround them. The Spratly's consist of shoals, atolls, reefs, and sandbars. Some are permanently submerged, some are submerged at high tide, and some are permanently above water. They are often referred to as outcroppings or low-tide elevations.

Because they do not have natural assets that can sustain human habitation, the Spratly Islands have never been broadly recognized as a part of any nation, yet each of the nations that border the SCS (Brunei, China, Malaysia, the Philippines, and Vietnam) claim all or part of the islands. These claims mattered little before discovery of the potentially abundant natural resources below the seabed. Now each of these conflicting claims has gathered growing importance; to the energy-dependent nation

of China, as well as to smaller nations looking for the prosperity that energy exploitation and fishing grounds can provide.

China has conducted land reclamation projects, to establish permanent bases or outposts, that enhance its territorial claims and challenge other nations' rights to overflight and freedom of navigation. China's recent construction of airfields, radar sites, and related infrastructure on these sites has dramatically elevated ongoing regional friction. Over the past few years, China has deployed military units to these islands to enforce what it sees as its natural and inherent sovereignty over the Sea.

Bordering nations have scrambled to establish their own claims through placement of buoys, cement plaques or the erection of structures on each outcropping. The friction that has developed over these activities has elevated tensions and have almost come to conflict. Another point of disagreement between China and the other parties is whether the few 'reclaimed' (artificial) islands that China has built would meet the legal definition of an island as defined in the United Nations Convention on the Law of the Sea (UNCLOS). If they were to be accorded this designation, then each island would have internationally recognized 12 nm Territorial Waters, and 200 nm EEZs extending out into the SCS, a boon for any nation recognized as being in legal possession of those islands.



UNCLOS Delineations

While once considered a regional issue resolvable within the Association of Southeast Asian Nations (ASEAN), Chinese actions to militarily inhabit some of these 'islands' has increased the tensions for nations with both regional concerns and global reach, such as the United States, Russia, and members of the European Union. It is also important to nations with an extra-regional focus, such as India, Japan, South Korea, and Australia, primarily regarding Freedom of Navigation. The growing tension in the SCS has engulfed all nations vying for control of the vital resources contained within. There have been many harassments and disputes too long to list here.

Despite Chinese challenges to their presence in these waters the United States, and its allies, have significantly increased the number and frequency of Freedom of Navigation Operations (FONOPS) conducted within the SCS. To challenge China's militarization of the artificial landmasses it created in the Spratly's, U.S. vessels and aircraft, along with Australian, British, Japanese, and French naval forces have all transited the SCS in various pairings over the past few years. Often U.S. ships sail within 12 nautical miles of these artificial 'islands' to demonstrate that Washington regards them as "low-tide elevations," void of rights as islands as China claims.

While all ASEAN member nations seek to increase their influence, the SCS clamant nations have become frustrated at the Association's inability to achieve unity on matters concerning this issue. A contributing factor is the divergent national and regional interests of each nation, such as the divide between maritime and continental nations, which are seen as impediments to the advancement of significant multilateral positions or actions.

In essence the problem is primarily two-fold: How to find an equitable solution to the various claims regarding the SCS overall, and the Spratly Islands in particular, and how to protect Freedom of Navigation and the right of innocent passage through the SCS – short of a military confrontation – for all nations.

Recent Significant Events

(*Notional Event)

2025

March 24: Aerial footage shows China installing floating barriers at Scarborough Shoal to block Philippine fishing vessels.

April 5: China's construction plans for the world's first permanent deep-sea research station targeting gas hydrate reserves is revealed by Eurasian Times.

April 27: Philippine Marines and Coast Guard members land on three contested Sandy Cay features. This was in response to actions by Chinese Coast Guard members earlier in the month.

August 13: Two U.S. Navy destroyers sailed near Scarborough Shoal in response to PLAN vessels attempting to drive away Philippine vessels.

August 26: Indonesia stated it is weighing the possibility of carrying out coordinated coast guard patrols with Vietnam in part of the South China Sea.

September 15: Japan, the Philippines, and United States conduct maritime cooperative activity within the Philippine EEZ.

October 12: Three Filipino vessels, anchored near Thitu Island, were harassed by a Chinese Coast Guard ship. The BRP Datu Pagbuaya was hit by water cannon fire and was rammed by the Chinese vessel.

December 11: Satellite imagery indicate Vietnam has quietly accelerated land reclamation of a once-remote coral feature in the Spratly Islands. South Reef (Da Nam) has been one of Hanoi's lesser-developed outposts.

2026

January 23: The Chinese Navy and Coast Guard rescued 17 Filipino crew members from a Singaporean-flagged cargo ship that capsized near Scarborough Shoal.

January 25*: The UN Secretary-General announces an agreement for talks under the auspices of a UN Special Representative of the Secretary-General and invites India, Japan, and the United States to join the talks being held in Royal City of Klang, Malaysia.

January 26: Satellite imagery appears to show China reclaiming land on Antelope Reef in the Paracel Islands off the coast of Vietnam.

March 20*: Delegations from the governments of Brunei, China, India, Indonesia, Japan, Malaysia, The Philippines, the United States, and Vietnam, along with the Special Representative of the Secretary-General of the United Nations are gather in Royal City of Klang, Malaysia, to begin negotiations to attempt to resolve the issues surrounding the SCS.

Brief History and Current State of the SCS and Regional Nations

In geographic terms, the Southeast Asian (SEA) region is a collection of continental and maritime countries. The many islands in this region create the natural separation of the Pacific and Indian Oceans. They also create natural choke points for sea-based lines of communication, especially for maritime trade between nations to the West and to the East. This geography makes the SCS the primary sea line of communication connecting East and West – more trade travels through the Strait of Malacca than through any other maritime corridor in the world.

The development of Southeast Asia has been primarily influenced by two factors. First, is the migration of peoples into the region, in large part from China and India. Secondly, is the socio-political tension between cultures and states spawning from both pre-WWII colonialization and post-WWII independence. These influences have had lasting effects on today's SEA nations, especially those who compete with China over their perceived rights within the SCS.

Brunei Darussalam (نڬارا بروني دارالسلام)

The nation of Brunei Darussalam is a sultanate located on the north coast of the island of Borneo and bounded by the nation of Malaysia. While a small nation, it is rich in energy resources, primarily natural gas. Their per capita gross domestic product (GDP) ranks tenth in the world.

In the 19th century the Sultan of Brunei sought British support in defending the coast against Dayak pirates. In 1847 he signed the Treaty of Friendship and Commerce with the British, and in 1850 signed a similar treaty with the United States. In 1888 Brunei voluntarily accepted the status of a British protected state under the Sultan. The loss of Limbang Corridor to Sarawak in 1890 split Brunei into two and remained an obstacle to good relations with Malaysia.

In 1906 a treaty was signed between Britain and Brunei making the Sultanate a full protectorate, while also assuring the succession of the ruling dynasty. In 1959 a constitution was introduced, giving Brunei internal self-rule and allowing for a legislative council. The residency agreement of 1906 was revoked, transferring power to the Sultan.

In the early 1960s, Brunei considered merging with the Federation of Malaysia, which at the time included the provinces of the Malaysian peninsula, Sabah, Sarawak, and Singapore. The idea was opposed by the Brunei People's Party and instead proposed the creation of a state comprised of Northern Borneo, Sarawak, and Sabah. The Sultan decided against joining the Malaysia Federation. During 1962 there were sporadic and unsuccessful attempts at rebellion, instigated by the North Borneo Liberation Army. These were put down with the help of British Gurkha units flown in from Singapore. Even so, the Sultan declared a state of emergency which has continued to be renewed every two years.

In 1971, under an agreement with the United Kingdom, Brunei ceased to be a British protected state. The constitution was amended to give Sultan Hassanal Bolkiah (حسن البلقية) full control over all internal matters, the UK retaining responsibility for defense and foreign affairs. Brunei became a fully independent sovereign state on 1 January 1984. The Sultan exercised absolute power. A



Brunei



Sultan Hassanal
Bolkiah (حسن البلقية)

ministerial form of government was announced, but the Sultan simultaneously held the offices of Prime Minister, Finance Minister, and Home Minister.

The Sultan appeals more broadly to the population by providing generous and comprehensive welfare programs. This ability of the Sultanate confers the state's much needed legitimacy without political representation or meaningful participation in national governance.

Bruneian society is strictly regulated, and the media is tightly controlled. Emergency regulations have been renewed biennially although there has not been any serious challenge to the monarchy since 1962. Any challenges have been met with a swift and strong response. The only political party remaining in Brunei today is the National Development Party.

Brunei's economy is heavily dependent on natural resource extraction, relying on oil and gas for 90% of its export revenue and over half of its GDP. Japan is their largest customer, followed by South Korea, Thailand, India, and China. The state is the largest employer, currently employing 25% of Bruneians. The government provides a high standard of living, with a per capita GDP of US\$77,500, ranked among the highest in Asia.

Brunei in the 21st Century

A series of constitutional amendments were announced in 2004 that gave the Sultan even greater power. The partially elected Legislative Council was resurrected in 2004, its members were all appointed by and included the Sultan. The Legislative Council was tasked to pass constitutional amendments including new legislation designed to entrench the Sultan as an absolute sovereign. These amendments undermined the role of the Legislative Council and is now restricted to meeting only annually and is limited to raising questions about the budget and governance issues of concern to the public.

In 2009 Brunei relinquished all claims to the Limbang district to Malaysia in exchange for two hydrocarbon concession blocks. This was part of the Brunei-Malaysia Maritime Agreement. In 2014 the sultan determined that Brunei should come under Sharia Law. Expected to be introduced in three phases, only the first phase – penal codes – has been implemented. International protests and threats of wide-spread boycotts have caused the implementation of the next two phases to be postponed indefinitely.

Brunei's SCS Approach

Brunei's strategy is not to challenge China. Brunei prefers cooperation over confrontation but often urges Beijing to act as a responsible big brother. Their relations focus primarily on economic cooperation, as Brunei needs China to help it diversify its economy as oil and gas prices remain low. Brunei continues to increase exports to China, which have grown from \$34 Million in 2003 to \$1.7 Billion in 2013. In return Beijing has recently begun investing in infrastructure, petrochemicals, and financial services projects in Brunei, concluding a 2014 agreement to set up the Brunei-Guangxi Economic Corridor, and opening the first Chinese bank in the sultanate in 2016.

However, Brunei also believes in a strong ASEAN. While this rests primarily on the potential economic benefits to Brunei through increased commerce and economic agreements across ASEAN. It also involves 'enmeshing' Beijing into an organization that prides itself on cooperation, consensus, and a systematic resolution of conflicts between all nations in the region. This is all in the hope that China will comply with both ASEAN and international norms of behavior. This is in harmony with

Brunei's efforts to have China behave like a big brother and work cooperatively and positively as a large nation with its smaller neighbors to everyone's benefit.

In 1958, the British government established the maritime boundaries between Brunei and Malaysia, however, these remained in dispute until the 2009 Brunei-Malaysia Maritime Agreement. Within that agreement Malaysia relinquished all claims within the old British boundary, to include Louisa Reef. However, published maps depict both the Malaysian and Vietnamese Commission on the Limits of the Continental Shelf (CLCS) lines cutting through Brunei's claim, as neither country accepts Brunei's extended Continental Shelf claim. While China's Nine Dashed Line claim approaches Brunei's claim, the exact route of the Chinese claim remains undefined. While both nations claim Louisa Reef, neither has chosen to exploit claims there. While there are oil and gas fields within Brunei's claimed EEZ, these remain unexplored and unexploited, as the Bruneian government is content to limit energy extraction to the proven fields within its territorial waters.

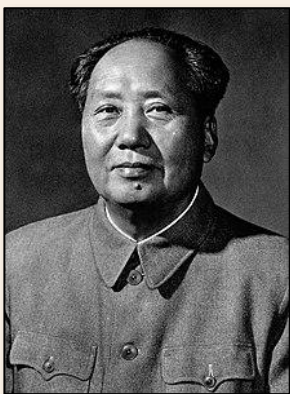
People's Republic of China (中华人民共和国)

China has a long and complex history. For brevity, this look at the history of China begins with the restart of the Chinese Revolution following World War II. In 1949 Communist Party of China forces had established control over most of the country, driving the Chinese Nationalist Party across the Formosa Strait to the island of Formosa (Taiwan), where they established the Republic of China. On 1 October 1949 the People's Republic of China (PRC) came into existence, with Mao Zedong (毛泽东) as its ruler.

The Cultural Revolution, launched in 1966, led to a major upheaval of Chinese society. Mao's goal was to reinforce communism by eliminating capitalism and replacing the traditional and cultural elements of Chinese society with Maoist orthodoxy. There was a purge of senior leaders who were seen as too capitalistic.



China



Mao Zedong (毛泽东)

During the 1970s, Mao began the process of warming relations with the West, most demonstratively through U.S. President Nixon's 1972 visit to China. The PRC was also admitted to the United Nations, replacing the Republic of China, as one of the five permanent members of the UN Security Council. Mao died in 1976, and his Cultural Revolution died in the power struggle that followed.

In 1978, Deng Xiaoping (邓小平), who had been purged during the Cultural Revolution, outmaneuvered Mao's appointed successor and emerged as the de facto Chinese leader. Though never appointed to head the party or the state, his influence began the gradual process of change that would create the modern Chinese state, underpinned by the adoption of a new constitution in December of 1982. Economic reforms began to move the country toward western standards, beginning with "Socialism with Chinese characters."

Despite its size, Chinese territory holds little in terms energy reserves, making the country heavily dependent on imports to fuel its economic sector. China is once again a nation that wields significant international influence, and is a strong, imposing neighbor to the nations within the region, especially to those nations that stake claims within the SCS.

The People's Republic of China in the 21st Century

At the turn of the millennium China's progress allowed its leaders to evolve foreign policy from one of traditional passivity to a proactive policy. This would allow Beijing, over time, to shape the region and eventually the world in ways favorable to China. Xi Jinping (习近平) came to power in 2012. Xi's ever-growing influence on the CCP has given him more control over the economy and growing military. In 2016 Xi was given the title of "leadership core" which places him in the realm of Mao in position within the CCP. In March 2018 the National People's Congress amended the constitution to remove term limits on the Presidency. In August 2022 Xi began his third term as President.



Xi Jinping (习近平)

As the economy continues its unprecedented growth, the People's Liberation Army (PLA) also continues its unparalleled expansion. Currently the PLA consists of 2.03 million active-duty soldiers and 510,000 reservists. The PLA Air Force (PLAAF) consists of 400,000 personnel spread across bases within seven military regions, armed with bomber, fighter, reconnaissance, and transport aircraft. The PLA Navy (PLAN) consists of 255,000 personnel and is equipped with over 530 ships. It has two aircraft carriers, one being indigenously built, and has commissioned two additional aircraft carriers. Numerically the PLAN has more ships than the United States Navy, however their capabilities and range of action are not yet equivalent. The PLAN South Sea Fleet, based at Zhanjiang (Guangdong province), has approximately 320 ships. PLAN surface and subsurface vessels currently transit the SCS area on a regular basis.

Chinese foreign policy publicly espouses a philosophy of "Good Neighborliness." If China is to reclaim its rightful place as a world power, it needs to maintain its economic growth. Beijing feels that it is aggressively challenged by a belligerent U.S. government set on diminishing its trade deficits through stiff tariffs and for unfair trade practices. Washington has named China as a "near-peer competitor." This comes amid China's "Belt and Road Initiative" (BRI), created in part to secure access to the necessary resources external to China. Beijing is also pursuing aggressive commercial interactions with less prosperous nations by extending large loans coupled with aggressive repayment terms. Some nations, such as Malaysia, have started to push back, cancelling what it sees as bad deals that would have created billions in debt. In Malaysia's case the new government cancelled two Chinese-linked projects valued at \$22 billion that were signed to bail out a graft-plagued state investment fund. In the larger scheme, this is seen by some as a new Chinese policy initiative that seeks to secure permanent access to strategic areas of the world just as America's influence is perceived to be waning.

China continues with its policy of patience and probing – taking a long-term approach toward national goals while simultaneously seeking to see if it can achieve some of those of goals in the near-term. However, in the SCS, Beijing seems anxious to demonstrate its dominance.

China's SCS Approach

Chinese leaders seek to control the SCS area and defend and enforce their claims militarily, through continuous patrols and deployments; legally, through compliance with the provisions of UN Convention on the Law of the Sea (UNCLOS) regarding maintenance of claims; governmentally, through the designation and administration of the entire SCS region as part of Hainan province; and economically, through fishing and active energy exploration. While Beijing participates in multilateral forums, primarily through ASEAN, it prefers to conduct its diplomatic efforts on a bilateral basis where Chinese officials can seem open to negotiated solutions, but this approach allows them to

either exert pressure to gain the solution they seek or make it easier to defer reaching any resolution at all.

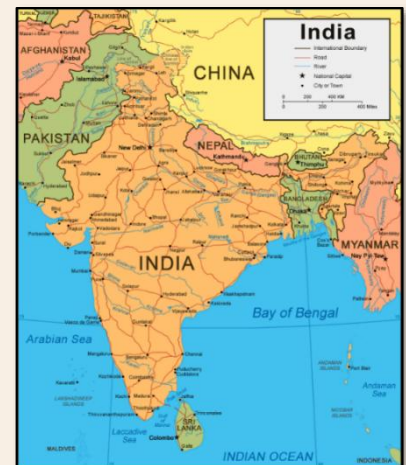
Within the Sea itself, China continues to press its claims through naval monitoring and intimidation. Beijing continues the periodic deployment of energy research and exploration vessels and equipment. They are altering existing natural geographic features to create man-made islands capable of becoming sustainable military outposts. China's current, and documented land reclamation and building projects include Mischief, Fiery Cross, Gaven, Johnson, Hughes, and Cuarteron Reefs, with extensive construction of bases, ports, and airfields. China will likely continue to militarize these islands and demand that all naval vessels and military aircraft stay clear of the SCS under the threat of attack to enforce China's sovereignty over the sea.

China claims "indisputable sovereignty" over both the Spratly and Paracel islands and maritime rights over related waters in the SCS based on its ten-dashed line map, stating in June 2016 that "the islands of the South China Sea have been Chinese territory since antiquity." Beijing justifies this claim based on historical usage through survey expeditions, fishing activities and naval patrols dating as far back as the 15th century. As a contemporary basis for its claims, Beijing uses an August 1951 statement by Chinese Premier Zhou Enlai, in which he asserted sovereignty over the island groups. In 1958, China released a statement linking, for the first time, its territorial claims over the Spratly's and Paracels to maritime rights in the surrounding waters, and in their 2009 *Note Verbale* to the UN Commission on the Limits of the Continental Shelf (UNCLOS), further declared jurisdiction over waters surrounding islands in the SCS. Despite the July 2016 Permanent Court of Arbitration (PCA) award validating the Philippine claims, China continues to build a dominating presence within the SCS.

Republic of India (*Bhārat Gaṇarājya*)

Indian influence in Southeast Asia is not new. Throughout history many SEA nations were either conquered by Indian empires or populated by Indian peoples. However, the present prominence of India in the region is relatively new. This is driven by the needs of a rapidly expanding economy and burgeoning population, both of which require resources that can increasingly be gained only through importation.

The history of the modern Indian nation began in 1947 when it gained independence from the United Kingdom. Over time, India has also suffered from significant internal sectarian struggles, political assassinations (Mahātmā Gandhi (महात्मा गांधी) in 1948, Indira Gandhi (इन्दिरा गांधी) in 1984, and Rajiv Gandhi (राजीव गांधी) in 1991), terrorism, and political upheavals. Externally, besides its conflicts with Pakistan, India has long-standing disagreements with China regarding border demarcation.



India

Economically, India struggled through its first 40 years under a unique economic system that combined socialist and capitalist elements. Poor execution led to widespread inefficiencies and endemic corruption, which significantly repressed growth. In 1991 Finance Minister Manmohan Singh (मनमोहन सिंह) introduced financial and economic reforms that shifted India to free-market principles and liberalized foreign investment and trade. By the 2000s rapid expansion of the middle class, a significant rise in education levels, and the availability of a large labor force, the nation's growth rates began to soar. With annual revenues increasing 22% per year from 2000-2005, India became one of the world's fastest growing economies; though weakened by the 2008 global financial crisis, growth has averaged 6.75% through 2019.

India remains the world's largest democratic nation, with the world's second largest population (1.38 billion), with a labor force of over 500 million people. Already a nuclear power, India has built large armed forces which continue to expand. India is currently the world's biggest importer of military hardware, recently outpacing China in terms of acquisitions. Of primary national importance is India's ability to command the waters of the Indian Ocean extending west to Africa, south to Antarctica and east to Malaysia and Indonesia. Its development as a regional and world power has driven its growth as a "blue-water" naval power (it possesses the world's fifth largest navy). This is to help to secure resources and trade and protect the routes they travel to Indian ports. Their naval power projection strategy envisions a three-carrier battle groups with nuclear-powered submarines and strategic bomber/strike aircraft. As part of developing that strategy, the Indian Navy regularly interacts with other navies within and outside of the Indian Ocean, as evidenced by the joint India-Japan-China anti-piracy mission in the Gulf of Aden, and the annual Malabar joint naval exercise series with the United States.

Current Relations

A founding member of the Non-Aligned Movement (NAM) in the mid-1950s, India had desired to foster closer ties with SEA nations and ASEAN. It was not until the end of the Cold War that ASEAN members finally warmed to India. New Delhi's desire for improved relations with SEA nations and ASEAN are connected to its wariness of China's growing influence. Since then, India has made significant inroads in its relations with the Association and its member states. With Singapore as its strongest ASEAN ally, India was accepted as a Dialogue Partner (ASEAN+1), became a member of the ASEAN Regional Forum (ARF), and signed the ASEAN Treaty of Amity and Cooperation (TAC). Additionally, New Delhi's membership in three multilateral trade and investment organizations has also enhanced its ties with ASEAN.

In recent years India has signed defense cooperation agreements with Malaysia, Singapore, and Indonesia and has conducted naval deployments and exercises in the Strait of Malacca and the SCS, as part of its own "Look East" policy, all to the consternation of China.

Outside of the Indian Ocean region, India has been aggressively seeking to revive its 20-year-old "Look East" policy by attempting to increase ties with the SEA and Western Pacific nations, specifically Vietnam, Indonesia, Thailand, and South Korea. Given China's close relations to Pakistan, New Delhi sees Vietnam as the linchpin of its "Look East" policy, and possibly as the counterweight to Chinese influence. This new relationship was tested in 2011 when China warned India against engaging in agreements with Vietnam for oil and gas exploration within the SCS, which China viewed as an illegal act within Chinese-administered territory. Nonetheless, India's state-run explorer Oil and Natural Gas Corporation signed a three-year deal with PetroVietnam for developing long-term cooperation in the oil sector. Shortly thereafter Vietnamese President Truong Tan Sang (Trương Tấn Sang) conducted a four-day visit to India and signed several bilateral agreements covering energy, technology, education and homeland security. Vietnamese leaders also expressed interest in obtaining India's help in strengthening Vietnam's armed forces.



Narendra Modi
(नरेन्द्र मोदी)

With the election of Narendra Modi (नरेन्द्र मोदी) in 2014, and the consequential personal relationship that he developed with President Obama, India's relations with the United States have taken a much more positive turn. In 2017, the Quadrilateral Security Dialog (Quad) was re-established between Australia, India, Japan, and the United States. This defense alliance is seen as a counter to China's growing military and diplomatic strength in the South China Sea. Others have deemed this alliance as beginning a "new Cold War."

As India strengthens ties in the SCS, China remains engaged in the Indian Ocean, developing its line of bases and ports. Despite India's concern over this development, and Beijing's supportive relationship with Pakistan, both governments have worked hard over the past decades to put their tumultuous past behind them and strengthen political and economic relations. China is India's largest trading partner, although the trade deficit steeply favors China.

Republic of Indonesia (*Republik Indonesia*)

Indonesia is the largest populated nation within SEA and ASEAN, and besides its EEZ and territorial claims in the southern portion of the SCS, the sea lanes that transit to the Indian Ocean all pass between the islands of this archipelago.



Indonesia

Today's Indonesia has emerged from a troubled past to become a thriving, democratic, majority Islamic nation made up some 263 million people – the world's fourth most populous country. Once it gained independence after WWII, Indonesia suffered for years at the hands of authoritarian rulers, through economic turmoil, natural disasters, and restive regions seeking separation. President Sukarno led the new nation from 1945 until 1969. Over that time, he moved the nation from a parliamentary democracy to his own form of government – Guided Democracy – that accommodated diverse political voices including a growing communist movement embodied in the Communist Party of Indonesia (PKI). Over time PKI grew to become the largest Communist party outside of China and the Soviet Union, and its influence began to permeate throughout Indonesia. In 1965 a failed coup against Sukarno (blamed in part on the communists) spurred a major anti-communist backlash that caused the death of an estimated half-million people. This forced the PKI to become outlawed and 1 million of its supporters were imprisoned. This essentially destroyed the Indonesian communist movement and fatally injured Sukarno's Guided Democracy.

A weakened Sukarno was forced to transfer power to the military. General Suharto formally took control in 1969, ushering in the era called the "New Order." During this time Indonesia enjoyed substantial economic gains and absorbed Papua New Guinea and East Timor. This happened under a fundamentally corrupt government that lasted almost thirty years. In 1996, forces opposed to the New Order began to rally around Megawati Sukarnoputri, head of the Indonesian Democratic Party (PDI). When Suharto attempted to have Megawati removed as head of the party, student activists loyal to Megawati occupied the headquarters of PDI in Jakarta. The demonstration was broken up by the Indonesian military on 27 July 1996, an event remembered as Black Saturday.

These actions, along with increasing concerns over human rights violations in Indonesian-occupied East Timor, began to unsettle Suharto's normally friendly relations with Western nations. These further worsened for Suharto when the 1997 Asian financial crisis reached Indonesia, which helped expose the corruption of the New Order. Despite being approved by parliament for a 7th term in 1998, Suharto soon resigned in the face of nationwide protests and the loss of support from his own party and the military.

Suharto was replaced by his deputy Jusuf Habibie, who took measures to put the country back on the road to economic recovery and democracy. Persistent economic malaise, internal struggles with separatist forces, terror attacks, an activist parliament, and continued popular protests forced several changes in the government as the nation ventured into the 21st century. In 2004, former Army General Susilo Bambang Yudhoyono won Indonesia's first direct presidential election and was re-elected in 2009. He was followed in 2014 by the election of Joko Widodo, the former governor of Jakarta, who is seen as the first president popularly elected from outside the military and political elite. President Widodo was re-elected in 2019 for a second five-year term.

Prabowo Subianto was elected as the eighth president in 2024. Subianto is a retired Army General and former businessman. This was his third attempt at the presidency. President Subianto has called for a “rebalancing” from Indonesia looking West and now should learn from the East like China, India, Japan, and South Korea.

Indonesia in the 21st Century

Today, Indonesia is a healthy democracy enjoying a vibrant economy and relative internal peace, although there are concerns about active remnants of militant Islamic organizations, like Jemaah Islamiyah. As a founding member and initial driving force of ASEAN, Indonesia primarily seeks to ensure the continued strength and relevance of the organization. It supports the crafting of a comprehensive solution to the SCS situation through the multilateral efforts of ASEAN. However, there are certain fissures within the organization that complicate and, at times, frustrate its efforts.



Prabowo Subianto

Indonesia's SCS Approach

Indonesia has worked to maintain cordial relations with Beijing, in part because China is its largest trading partner and because Jakarta wishes to remain an honest broker to help mediate SCS issues between the ASEAN claimant states and Beijing. Over the past few years, the Widodo government has found itself increasingly at odds with Beijing over fishing grounds within its Natuna Islands EEZ. This led to confrontations with Chinese Coast Guard vessels conducting overwatch in the area. More recently the Indonesian government renamed the part of the SCS around the Natuna Islands as the North Natuna Sea. It has also begun to build-up its naval and air force assets and capabilities on the islands to permanently establish a greater military presence in the region as a direct response to Chinese incursions to protect its internationally recognized EEZ.

Indonesia's claim extends only to its 200nm EEZ attendant to the Natuna Islands, specifically Pulau Laut and Pulau Natuna Besar, which form the northern extent of its claim, and does not encompass any land formations within the Spratly's. The Natuna EEZ claim may intersect with the Chinese nine-dashed line claim, encompassing the West Natuna gas field, where the two nations conduct joint natural gas extraction operations under mutually cooperative agreements. Despite repeated requests, the Chinese government has failed to provide clarification as to whether its claims intersect; and whether the Chinese government recognizes Indonesian sovereignty over the islands themselves. Beijing has not stated a position on the EEZ surrounding the islands, Beijing's actions seem to indicate that it does not accept an Indonesian EEZ claim that interferes with its self-declared right to fish in the area.

Japan (日本国)

The modern, unified *Empire of Japan* began to emerge in 1868 with a series of progressive reforms that established a strong central government with a robust economy developed under the country's own industrial revolution. Japan also created an imposing military centered on sea power to achieve equality with the Western powers. It used its military strength to fight wars with China (1894-95) and Russia (1904-05), to occupy Taiwan and annex Korea and southern Manchuria. By 1910, Japan was the dominant power in East Asia, and after siding with the United Kingdom during WWI, emerged as a “Big Five” power. Yet, while Japan continued to strengthen and grow it grew increasingly militaristic. The ramifications of the Great Depression only served to secure the military's hold on the nation and in 1931 the Japanese initiated military incursions into China,

leading to the Second Sino-Japanese War (1937-1945). U.S. support for China, and its condemnation of Japanese actions, led to Tokyo's decision to confront the United States, drawing it into WWII in December 1941.

Japan's surrender ended WWII. The empire was dissolved, and the nation transformed into a non-threatening democratic state, with the United States guaranteeing Japanese security under the *Japan-United States Mutual Security Assistance Pact*. The Japanese post-war economy grew at an astonishing rate, quickly reestablishing prosperity and economic prominence, first regionally, then as one of the world's strongest economies. This lasted until 1989 when the economy fell into an extended recession and a "Lost Decade" of deflation and economic stagnation. During this time Japan began to reemerge as a military power, ostensibly for self-defense.



Japan

After the turn of the century, both China and Japan resumed their historic roles as East Asian rivals, and they began to squabble over island territories claimed by both. The most recent and dangerous quarrel involved the Senkaku Islands, located at the southern end of Japanese territory, just to the northeast of Taiwan. The islands had been controlled by Japan since 1895 and came under control of the United States after WWII, then returned to Japan along with Okinawa in 1972. China claims that these islands were in its possession since before the First Sino-Japanese War and were seized by Imperial Japan, thus should have been returned to China after WWII. Japan claims that it had surveyed the islands in the late 19th century and declared them *terra nullius* (land belonging to no one). The United States recognizes that the islands are part of the Japanese nation and as such fall under the U.S.-Japan Security Treaty, but the United States holds no opinion on the competing claims. Tensions increased in September 2012, when the Japanese government purchased the islands from their private owner, initiating large-scale protests in Chinese cities, many of which turned violent. Over the next few months tensions continued to escalate, as each nation's militaries sent ships and planes into the area. The United States engaged both nations to help reduce tensions, and a late January 2013 meeting in Beijing between Japanese representatives and China's new leader, Xi Jinping, calmed the situation with the promise to "push relations forward." Since that time an increased Japanese naval presence in the area along with continued American assurances of treaty-based support seem to have dissuaded Beijing from aggressively asserting its claims.

Current Relations

While Japan, along with the United States and India, is not a claimant state in the SCS and does not take sides on the territorial claims of any of the current claimants, Tokyo does have substantial strategic interests within the region. Today, economics, security, and status are the drivers of Japan's interests in the SCS. Japanese tankers carry 70% of Japan's oil through the sea lanes that transit the SCS, therefore unfettered access and security of all Japanese shipping is essential. While alternate routes are available, they would add significant time and costs. Secondly, any instability in the East Asian region does not serve Japan's national interests. This is in part why China's new assertiveness in the SCS is so concerning, with the real possibility that, if left unchecked, Beijing's actions will destabilize the region. Former Prime Minister Fumio Kishida (岸田 文雄) had vowed to "consider all options" when dealing with China. In June 2022 Kishida unveiled his 'vision for peace,' which compromises five pillars of



Sanae Takaichi
(高市 早苗)

initiatives: maintaining and strengthening the rules-based free and open international order, enhancing security by reinforcing Japan's capabilities and Japan-U.S. alliance, strengthening security cooperation with other like-minded countries, promoting realistic efforts toward a world without nuclear weapons, strengthening the functions of the United Nations along with reform of the UN Security Council. The Japanese military budget for fiscal year 2024 grew to its largest ever (\$55.6 billion).

In August 2024 Prime Minister Kishida announced that he would not seek re-election. In October Shigeru Ishiba (石破 茂) was elected Prime Minister. Ishiba has stated that the "relative decline of [the] U.S. might" necessitate an Asian version of NATO to counter security threats from China, Russia, and North Korea. He also has called for greater oversight to U.S. military bases in Japan. Ishiba's party lost its majority in the House of Representatives and House of Councillors which brought calls for his resignation. In September 2025 he resigned and Sanae Takaichi (高市 早苗) was elected Prime Minister by the National Diet on 21 October. During the 47th ASEAN Summit she made efforts to strengthen cooperation in the maritime sector. Takaichi met with Chinese Premier Xi where both sides agreed to promote a "mutually beneficial relationship based on common strategic interest." This sentiment was short-lived following Takaichi meeting with Taiwan's former Vice Premier. China lodged a protest and Japan countered leading to a deterioration of the relationship.

Malaysia

The major land masses of Malaysia are separated by the South China Sea into two regions - Peninsular Malaysia and Borneo's East Malaysia. Peninsular Malaysia shares a land and maritime border with Thailand as well as maritime borders with Singapore, Vietnam, and Indonesia. East Malaysia shares land and maritime borders with Brunei and Indonesia and a maritime border with the Philippines and Vietnam. About half the population is ethnically Malay, with minorities of Chinese, Indian, and indigenous peoples. Traders and settlers from India and China arrived as early as the first century CE, establishing trading ports and coastal towns in the second and third centuries. European colonists arrived in the early-16th century, after which the region was controlled by a succession of Portuguese, then Dutch, and finally British overseers.



Malaysia

During World War II, the Japanese Army invaded and occupied Malaya, North Borneo, Sarawak, and Singapore for over three years. During this time, ethnic tensions became elevated, and nationalism grew. Post-war British plans to unite the administration of Malaya under a single crown colony called the 'Malayan Union' met with strong opposition from the Malays, who opposed the weakening of the Malay rulers and the granting of citizenship to the ethnic Chinese. The Malayan Union, established in 1946, and consisting of all the British possessions in the Malay Peninsula except for Singapore, was quickly dissolved and replaced on 1 February 1948 by the Federation of Malaya, which restored the autonomy of the rulers of the Malay states under British protection. During this time, ethnic Chinese rebels under the leadership of the Malayan Communist Party launched guerrilla operations designed to force the British out of Malaya. The 'Malayan Emergency' lasted from 1948 to 1960 and involved a long insurgency campaign against British Commonwealth troops in Malaya.



Ibrahim Iskandar
(إبراهيم ابن إسكندر)

Following full independence in 1957 the country became a federal constitutional monarchy. The monarch is elected and chosen from nine state sultans every five years. This has allowed the multi-ethnic country to maintain some unity in government. The current Supreme Head of the Federation is Ibrahim ibni Iskandar (إبراهيم ابن إسكندر).

The Malaysian GDP grew at an average of 6.5% per annum for almost 50 years. The economy has traditionally been fueled by its natural resources but is expanding in the sectors of science, tourism, commerce, and medical tourism. Malaysia has a newly industrialized market economy, ranked third largest in Southeast Asia and 34th largest in the world. Malaysia's foreign policy is officially based on the principle of neutrality and maintaining peaceful relations with all countries, regardless of their political system. The government attaches a high

priority to the security and stability of Southeast Asia and seeks to further develop relations with other countries in the region. A strong tenet of Malaysia's policy is national sovereignty and the right of a country to control its domestic affairs.

Malaysia in the 21st Century

Malaysia's economy in 2014–2015 was one of the most competitive in Asia, ranking 6th in Asia and 20th in the world, higher than countries like Australia, France, and South Korea. In 2014, Malaysia's economy grew 6%, the second highest growth in ASEAN behind the Philippines' growth of 6.1%. Nevertheless, large economic inequalities exist between different ethnic groups. The Chinese make up about one-quarter of the population, but account for 70% of the country's market capitalization. Chinese businesses in Malaysia are part of the larger 'bamboo network,' a network of overseas businesses in the Southeast Asian market sharing common family and cultural ties.

In February 2020 a political development, dubbed the Sheraton Move, saw the ruling coalition dissolved by parliamentary members switching party support which led to three successive governments to fail. Two Prime Ministers resigned in less than 18 months. A snap election was conducted in 2022 which eventually formed a coalition government. Anwar Ibrahim (انور إبراهيم) assumed the office of Prime Minister in November 2022.

Prime Minister Ibrahim stated in June 2024 that Malaysia wanted to join the BRICS grouping of emerging economies. In October, Malaysia attained BRICS partner country status. One prominent feature of Anwar's premiership is that of the Malaysia-Sulu Case. The Malaysia-Sulu Case is a battle between the Philippines and Malaysia over lands in North Borneo.



Anwar Ibrahim
(انور إبراهيم)

Malaysia's SCS Approach

Malaysia's approach to the SCS is one of 'playing it safe.' They continue to pursue a combination of diplomatic, legal, economic, and security initiatives to secure its claims. Always careful to not disrupt its bilateral relationship with China. There doesn't appear to be public measures to curb China's coercion or influence. Malaysia has always preferred to use back-channel diplomacy to resolve conflicts.

Malaysia cautiously deals with external powers as to not be caught between China and the United States. In dealing with other ASEAN members, Malaysia has outstanding overlapping sovereignty boundary claims with Indonesia, the Philippines, and Vietnam.

Republic of the Philippines (*Republika ng Pilipinas*)

The history of the modern Philippine nation began in 1521 when Magellan first visited the islands, followed in 1565 with the arrival of the first Spanish settlers. Spanish colonization expanded rapidly across the entire archipelago eventually consolidating the disparate island kingdoms into a single entity, thus founding the Philippine nation, named after King Philip II of Spain.

Spanish rule lasted 300 years, ending in the 1898 defeat in the Spanish-American War. The Treaty of Paris transferred possession of the Philippines to the United States. The United States formed a military government in 1898, followed by a civilian government in 1901. The Philippines became a commonwealth in 1935, with the promise of full independence ten years later. With the outbreak of WWII, the nation fell under Japanese occupation, but independence was finally realized in 1946 under the Treaty of Manila, which established the Philippines as a democratic nation.



The Philippines

The newly independent Philippines, known as the Third Republic, remained heavily dependent on the United States in terms of its security and economic development. Succeeding administrations had differing priorities and levels of success, but the democratic process operated smoothly, with peaceful transfers of power. Internal corruption within the houses of national power would soon prove problematic.

The 1965 election of Ferdinand Marcos would mark the beginning of an era of national instability. While Marcos' early achievements allowed him to win a second term in office, legislative corruption and cronyism blocked many of his programs and national priorities. As a result, economic growth slowed, crime increased, and guerillas in the south escalated their fight for an independent state – a Muslim Mindanao. In September of 1972 Marcos declared martial law, suspending the constitution, and retaining extraordinary powers for himself.

When popular opposition leader, Benigno Aquino Jr, was assassinated upon his return from exile, popular sentiment began to turn against Marcos. A snap election was held in 1986 and pitted Marcos against Corazon Aquino, Benigno's wife. Marcos won the election, but the results were protested by Aquino. The United States and other observers decried the results. The military withdrew its support of the government and Marcos was forced to cede power and go into exile. President Aquino, and those that followed her in office, were plagued by weak administrations, military coup attempts and continued insurgencies.

In 1991, U.S. efforts to broker a 10-year extension of military basing rights was rejected by the Philippine Senate, forcing the departure of all U.S. military from the country. The withdrawal also saw the end of U.S. military aid. Both the mutual defense treaty and the designation of the Philippines as a major non-NATO ally remained in place. After the withdrawal the Philippine military suffered greatly, as its budget remained well below those of its SEA neighbors. The Philippine Senate did not anticipate the power vacuum the U.S. absence would have and how the Chinese military would soon fill it, especially within the SCS. In January 1995 a Philippine air patrol discovered that the Chinese Navy had occupied and erected structures on Mischief Reef, just 130 nm from the Philippine coast within the Philippine EEZ. Philippine leaders protested but were helpless to force the Chinese to depart. Given clear Chinese aggression the Ramos government passed the Armed Forces of the Philippines (AFP) Modernization Program in February 1995. The next year three PLAN warships engaged a Philippine naval patrol boat in a 90-minute gun battle. In 1999, after China expanded its

Mischief Island structures, the United States and the Philippines signed a Visiting Forces Agreement allowing U.S. forces temporary, pre-coordinated visits to Philippine ports and bases.

The Philippines in the 21st Century

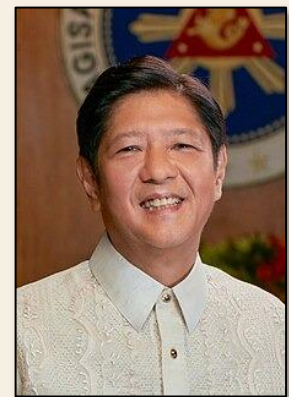
Under the provisions of the 1995 AFP Modernization Program, the Philippine military, especially its navy, has continued to grow and modernize. Current naval structure consists of seven operational commands and a Fleet Marine Ready Force.

Despite ongoing domestic insurgency, the Philippine nation has enjoyed stable government, continuation of reforms, and a burgeoning economy. Regarding relations with China, the administration of Gloria Macapagal Arroyo was known to favor increased economic ties with China over challenging Beijing's SCS claims. However, this slowly began to change after Benigno Aquino III took office in June of 2010. At first, he maintained Arroyo's appeasement strategy, but eventually it became apparent that a continuance of this strategy only benefited Beijing while doing little to modify China's aggressive behavior.

In 2012, as part of the U.S. "Rebalancing to the Pacific" strategy, both governments concluded an agreement that allowed the return of U.S. Naval Forces to Subic Bay on a semi-permanent basis. During the 3rd Philippines-United States Bilateral Strategic Dialogue, in December 2012, an agreement was concluded to significantly increase the rotation of U.S. forces through Philippine bases and establish a five-year joint military exercise plan. This drew immediate condemnation from China, but the United States countered that the basing agreement was driven by humanitarian concerns given the number and severity of natural disasters that occur in the region. After the Philippine Supreme Court denied a challenge to that agreement, the U.S. government began to deploy forces to the Philippine bases in the spring of 2016 and has since markedly increased its military presence in and around the SCS.

The 2016 election of Rodrigo Duterte did little to alter day-to-day relations with the United States, or to alter the Aquino administration's stance on Manila's SCS claims. Duterte tried to appease Beijing and encourage Belt and Road Initiative investments to improve Philippine infrastructure. This accommodating of China has diminished the importance of the 2016 arbitration ruling with little change in Chinese military actions in the SCS. Continued naval modernization was encapsulated in the Capability Upgrade Program (CUP), under the Philippine Navy Strategic Sail Plan 2020.

In June 2022 Ferdinand "Bongbong" Marcos, Jr was sworn in as President. Marcos' Vice President is the previous President's daughter, Sara Duterte. Early in his presidency he promised a foreign policy of "friends to all, enemies to none." Slowly over time he has increasingly been seen as more pro-American. President Marcos calls for all parties involved in the South China Sea to abide by UNCLOS to diffuse potential conflicts in the future. Despite this stance, China-Philippine relations have deteriorated during Marcos' term.



Ferdinand Marcos, Jr

The Philippines' SCS Approach

In late January 2013, the Philippine government decided to formally challenge China's SCS claims before the UN tribunal that oversees UNCLOS, stating that China's claims are unlawful. On 12 July 2016 the court delivered a stunning determination that upheld the maritime portion of the case. This, in essence, invalidated all Chinese claims to its long-held nine-dashed line. While the PCA ruled only on maritime entitlements, not on territorial claims, in doing so it greatly damaged Beijing's argument that the entire SCS is part of the Chinese archipelago. China denounced the decision as an invalid interpretation of UNCLOS provisions and has ignored it.

In the spring of 2014, the Philippine government lodged a protest with China and later with ASEAN and the UNCLOS Tribunal that accused China of a land reclamation project on Johnson South Reef. Such Chinese land reclamation projects have been seen at several other SCS atolls. In October 2015 the tribunal rejected Beijing's legal arguments that under UNCLOS the tribunal had no jurisdiction in this matter. Instead, the tribunal accepted the Philippines' assertion that its claims only concerned the interpretation and applicability of UNCLOS. China's dredging operations at Mischief Reef, and ongoing or finished reclamation projects along with the construction of military-related infrastructure, and possible positioning of weapons on these newly reclaimed 'islands', drew further attention by the Philippine government. In a final ruling by the PCA, in 2016, it unanimously declared in favor of the Philippines on most Philippine claims against China.

In 2016 President Duterte reached a temporary agreement with Beijing that allowed Philippine fishermen access to the fishing grounds around Scarborough Shoal, but not in the lagoon. There have been concerns in both Manila and Washington that the Chinese might begin the same land reclamation/base-building efforts on Scarborough Shoal that have taken place in the Spratly's. Beijing has yet to show any indications of doing so, due in great part to high-level warnings from Washington that doing so might seriously disrupt Sino-American relations.

Thus, the Philippine government claims virtually all the Spratly Islands (some 50 features), plus Scarborough Reef/Shoal to the north, all of which are within the West Philippine Sea (WPS). Most of the Spratly Islands and Scarborough Reef do fall within the 200nm EEZ limit prescribed under UNCLOS. Manila's justifications of its claims are based on five arguments: 1. The islands are adjacent to or contiguous with the main Philippine islands, 2. The Spratly's and Scarborough Shoal are part of the Philippines' continental shelf, 3. The region is economically vital to the nation and strategically key to Philippine security, 4. The area was *res nullius* (abandoned) after WWII, justified by noting that after WWII the Spratly Islands and Scarborough Shoal were "de facto under the trusteeship of the allied powers" thus nullifying previous claims of ownership, and abandoned after the signing of the 1951 San Francisco Peace Treaty, and 5. Recent Philippine occupation of certain islets gives it title either through discovery or by "prescriptive acquisition."

United States of America

Following WWII, the defeat of the Chinese Nationalist forces, by communist forces, and China's involvement in the Korean War, Washington ensured its containment policy was strictly enforced. The United States imposed a strict embargo on the PRC, sought additional Pacific alliances and added to its string of military bases to the east and south of China. The Sino-Soviet split, in communist doctrine, provided the Nixon administration with an opportunity to reverse course on China. Nixon thought a new strategic alignment between Washington and Beijing could counter what appeared to be an increasingly strong Soviet threat. The United States established relations with the PRC and, to the detriment of Taiwan, allowed the PRC to replace it on the UN Security Council. In the end the desired grand alliance failed to materialize, and the two countries merely collaborated on certain lesser issues.



United States

U.S. involvement in SEA began to lessen in the mid-1970s with its withdrawal from Vietnam, reaching a low point with the 1992 termination of basing agreements with the Philippines. While the

United States maintained its Pacific forces with bases in South Korea, Japan and Guam, its post-Cold War focus turned to the Middle East with the ongoing war against terrorism.

At the turn of the century, it became clear that China and the United States shared many of the same concerns; unstable leadership in North Korea, mutual economic well-being, to countering terrorism and nuclear proliferation. Additionally, China was becoming "entangled" in a series of regional and international agreements and organizations (such as its long-awaited entry into the World Trade Organization) that the U.S. hoped would increasingly move Beijing closer to Western norms.

Current Relations

The United States prefers to see regional solutions with the reduction of provocative measures by all sides. They seek agreements and the implementation of confidence-building measures, with a final settlement, in concert with UNCLOS provisions. These measures should be multilateral. Washington remains adamant that maintaining freedom of navigation and the right of innocent passage throughout the SCS is critical.

The United States continues to maintain and expand its bilateral relations with individual SEA and SCS nations. It views China less as a partner and more as a rising power pursuing a unilateral strategy to nationalize the SCS. Washington's concerned about Chinese control out to the *First Island Chain*, and eventually, as China's naval capacity improves, out to the *Second Island Chain*, effectively challenging U.S. naval domination in the Western Pacific. During his second term, President Obama looked to shift U.S. focus to the Pacific, to deal with China's rise as a superpower. This deliberate strategy seeks to assert protection in the "global commons." Washington is strengthening its relations with all the nations in the region, particularly those surrounding the SCS.

Washington is working with Vietnam to help it counter China's growing influence. Both governments are cooperating on critical maritime issues, including a code of conduct focusing on the SCS, and working to improve freedom of navigation in the oceans. Most recently Washington took a historic step forward with the removal of a decades-old arms embargo. This set the stage for a 2007 Hanoi port call of a U.S. Navy destroyer, the first since the end of the Vietnam War. In September 2018 a port call of a U.S. aircraft carrier happened. Washington continues to accelerate their renewed military relations, and have signed agreements on port rights, naval maintenance facilities, and collaboration in military medicine and naval training.

The United States' formal alliance with the Philippines continues to underpin relations between both countries. The 1951 mutual defense treaty was reaffirmed with the November 2011 Manila Declaration. That declaration also included a long-term advisory role for the modernization of the Philippine armed forces. Beginning in 2012, a U.S. military contingent of 600, including Navy Seals and Seabees, has been stationed "indefinitely" in the Southern Philippines. They are there in a non-combatant role to assist the Philippine armed forces in operations against the al Qaeda-linked Abu Sayyaf terrorist group. The recent signing of 10-year basing agreements followed by the deployment of forces in and around the Philippines has ushered in a new era of military cooperation. Regarding the Mutual Defense Treaty, of importance is the geographic area covered by the treaty, which, based on interpretation, may or may not encompass Scarborough Shoal.

The United States has important economic, commercial, and security interests in Indonesia. It remains a linchpin of regional security due to its strategic location to several key international maritime straits, particularly the Strait of Malacca. Relations between Indonesia and the United States are positive and have advanced since the election of President Yudhoyono in October 2004. Cooperation between the United States and Indonesia on counterterrorism has increased steadily since 2002, as terrorist attacks in Bali (October 2002 and October 2005), Jakarta (August 2003 and

September 2004), and other regional locations demonstrated the presence of terrorist organizations, principally Jemaah Islamiyah. The United States has welcomed Indonesia's contributions to regional security, especially its leading role in helping restore democracy in Cambodia and in mediating territorial disputes in the SCS.

The United States continues its rapidly improving relations with India. Washington and New Delhi have reached agreements to enhance India's civilian nuclear energy program and improve military relations and support. Improvements in sharing logistical capabilities (base-sharing), exchange of defense technologies, and joint naval maneuvers, such as the one conducted with both navies and Japan in the western Pacific in the summer of 2016, all show the growing friendship. The Quad defense alliance has continued to reinforce the close ties between the two nations.

While the United States cannot deny China's ultimate rise, it hopes Beijing will be a "responsible stakeholder." However, at present, Beijing's vision of an ordered world, now often aligned with the Russian Federation, often conflicts with U.S. interests, and frustrates U.S. leaders. Washington's efforts to try to ensure the emergence of a responsible China, has driven it to become increasingly involved with all nations in the greater Pacific region.

Socialist Republic of Vietnam (*Cộng hòa Xã hội chủ nghĩa Việt Nam*)

The history of the Vietnamese people is long and for brevity we'll begin with the end of WWII. In September 1945, under Hồ Chí Minh, Vietnam declared independence as the Democratic Republic of Viet Nam. Independence was short-lived however, as Nationalist Chinese and British forces seized control and lent their support to non-communist parties. Shortly after the return of French forces the First Indochina War began, pitting French and non-communist Vietnamese forces against the Communist Vietnamese supported by the Soviet Union. With the French defeat, at Dien Bien Phu (Điện Biên Phủ), in 1954, Vietnam achieved independence. Under the provisions of the 1954 Geneva Conference, Vietnam was a divided nation.

A renewed conflict, now between the Communist North and the American-supported democratic South, marked the beginning of the Second Indochina War, which lasted from 1954 through 1975. This war ended after America withdrew. The nation reunited under the communist regime. In 1974, with the Vietnamese enmeshed in the last years of war, China took control of the Crescent Group of the Paracel Islands after a brief battle with the South Vietnamese Navy.

After the war, the integration of South Vietnam proved to be disastrous, as the actions of the Communist government led to the death or exile of hundreds of thousands of people. The new nation also had to deal with threats along its border from the Khmer Rouge in Cambodia, which began to stage attacks into Vietnam. In retaliation, the Vietnamese army invaded Cambodia in 1978, deposed the Khmer Rouge regime, and occupied the country for the next ten years. The invasion provoked an eventual response from China, the Khmer proxy who, in early 1979 staged a limited invasion into northern Vietnam. Vietnamese forces were able to defeat the Chinese, forcing them back across the border. Vietnam's relations with the People's Republic of China have been tenuous ever since.



Vietnam

The nation suffered through a severe economic collapse that lasted well into the 1980s. Reformers within the Communist party carried out a quiet revolution during the 1986 Sixth National Congress, replacing the “old guard” with new leaders. The new government, led by Nguyễn Văn Linh, embarked on a new direction, known as “Đổi Mới” (Renovation). A series of government reforms moved Vietnam away from Communist-style economic cooperatives to a “socialist-oriented market economy.” Over time these reforms had the desired effect as the economy experienced rapid growth, raising the status quo of certain sectors of society. Unfortunately, economic growth bypassed many other sectors, creating a new problem – social inequality.

In 1992, Vietnam adopted a new constitution reconfirming itself as a communist nation but operating as a socialist state with a capitalist economy. In the last decade of the 20th century, the collapse of the Soviet Union left Vietnam without their main ideological ally and hedge against China. Vietnamese leaders began to seek ways to both rebalance this threat and maintain national strength and independence. Vietnam reestablished relations with the United States and, under a new policy of “enmeshment,” became the first communist state admitted into ASEAN. These new relationships soon proved fruitful in resolving the Kantan affair with China. This Kantan affair began in March 1997, when China began exploratory drilling in an area of the Tonkin Gulf claimed by Vietnam. In response Vietnam made its case against China within ASEAN. On 1 April China withdrew its vessels and agreed to resolution through consultation.

Vietnam in the 21st Century

The Vietnamese government has been influenced by two ideological camps: the Anti-Imperialists, who seek communist solidarity and see the West as their enemy; and the Integrationists, who seek to balance China against expanded ties with the West. Favoring the Integrationist’s position was the sustainment of significant economic growth (8% per annum). They resolved long standing disputes with the United States, which led to the grant of Permanent Normal Trade Status and WTO acceptance. Subsequently Vietnam was elected as one of the 15 non-permanent members of the UN Security Council for 2008-09. The government was able to rebalance its relations within the region, and to some extent globally. Regarding China (as part of the Anti-Imperialist policy of solidarity between communist nations), Vietnamese leaders pursued long-term stability through cordial bilateral relations. A hallmark of this approach was their settlement and demarcation of the mutual land border with China. Vietnamese leaders continued to try, and failed, to establish an ideological alliance with China. In 2003 the new government of Nông Đức Mạnh shifted to a more pragmatic approach based on each nation’s attitude toward Vietnam’s goals, not ideological affiliation. This shifted influence on integrationists with a policy of global balance and away from the policy of communist solidarity. In 2006 government leaders shifted back to a more tenuous balance between both policies and ideological camps.

While Vietnam’s foreign policies have continued to shift between approaches, its relations with China have remained deferential. China’s active pursuit of relations with other SCS nations, either through ASEAN agreements, or unilaterally, have left Vietnamese leaders angry. Vietnam has few options other than to join the agreements. In Vietnam’s opinion the Sino-Philippine agreement violates the Declaration of Conduct, a non-binding agreement between the SCS states. Beijing’s pursuit of regional multilateralism, either within or outside of ASEAN, only stokes Vietnamese fears of Chinese domination. Vietnamese deference has not resolved its differences with China over their mutual maritime boundaries and claims in the SCS. While they reached an agreement on the definition of territorial seas and EEZs within the Tonkin Gulf, both nations continue to clash over issues involving the SCS and the Paracel Islands.

China is Vietnam’s largest trading partner. Chinese banks have granted significant loans, and the government opened expansive trade deals that have provided a boost to Vietnam’s industrial and

agricultural sectors; however, this also gives Beijing significant leverage. Both China and Vietnam have a unique relationship that allows their leaders to compartmentalize the different components of their relationship, in part through deference to China. Given the leverage that China holds, Vietnamese leaders have taken a cautious approach to Beijing given its recent aggressive actions in the SCS. Chinese and Vietnamese leaders have both sought ways to calm the situation, in part by signing bilateral agreements (another acquiescence to China), though Hanoi would prefer to pull China into multilateral solutions and agreements through ASEAN.

This has led to a reopening of U.S.-Vietnam relations and places China on notice that Hanoi, along with most SEA states, supports U.S. predominance in the region. To reinforce this point, then President Trần Đại Quang played host to both President Obama in May 2016 and President Trump in 2017; Hanoi hosted Trump's second summit meeting with North Korean leader Kim Jong-Un in 2019. These visits along with the lifting of the U.S. arms embargo are seen as major steps in underpinning Vietnam's opposition to Chinese actions in the SCS and the region. President and General Secretary Tô Lâm assumed office in August 2024 following the death of Nguyen Phu Trong. Lam's first overseas trip was to China where he met with President Xi.



Tô Lâm

Vietnam's SCS Approach

Hanoi believes that Beijing would not hesitate to use force to settle sovereignty issues as has been prevalent over the past 50 years. Vietnam has also had disputes with the Philippines due to overlapping SCS claims.

Hanoi claims the entire Spratly Island area as an offshore district of Khanh Hoa province. It also claims the Paracel Islands despite China's occupation of them. Taken together, its claim is bigger than any other claimant except China. Key Foreign Ministry statements and two authoritative White Papers from 1979 and 1982 outlined claims to all features of both island chains under four main historical arguments. A joint submission, with Malaysia, to the UNCLOS in May 2009 defined 200-nautical mile EEZ limits derived from the mainland. Vietnam also maintains that under Article 76 of UNCLOS its continental shelf extends past the 200nm EEZ limit and that the 350nm limit should apply. Regarding the Spratly Islands themselves, Hanoi does not believe that any of them meets the threshold of an island under UNCLOS, and therefore they do not have EEZs nor continental shelves.

Vietnam provides several justifications for its sovereignty claims: First, Vietnam claims to have been the first country to discover and name the Spratly Islands, evidenced by their appearance in Vietnamese maps and books as early as the beginning of the 19th century. Second, it asserts its historical claims to the Paracels are supported by France's repeated statements in the early 1930s asserting sovereignty over the islands. The Vietnamese Navy replaced French occupying forces following the Indochina war and remained until China's illegal seizure of the Paracels. Third, Vietnam maintains that Japan's renunciation of all SCS islands in the San Francisco Treaty did not specifically cede these territories to China.



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